

ENTREPRENEURSHIP DEVELOPMENT INTRODUCTION

The goal of entrepreneurial education is to teach you how to identify opportunities and act upon them. Many people choose to leave problem solving and innovation to others. Entrepreneurs do not. There is more than money involved in entrepreneurship - there are new ideas, approaches, methods and styles that can be tested. You should understand that entrepreneurial education and spirit applies to everyone regardless of what position, occupation an individual selects.

Specific reasons for entrepreneurship education include the following:-

Growing unemployment particularly educated unemployment is an acute problem of Nigeria. For instance if after graduation, in your College alone, a hundreds persons become entrepreneurs, they not only create a hundred jobs for themselves but also provide employment to many more. These enterprises grow with time to provide additional direct and indirect employments. Thus entrepreneurship is the best way to reduce unemployment.

National Income: Entrepreneurship increase the National income thus National Income consists of goods and services produced in the country and those imported. The goods and services produced are for consumption within the country as well as to meet the demand of exports. The domestic demand increases with ever increasing population and standard of living. The export demand also increases to meet the needs of growing import due to various reasons. An increasing number of entrepreneurs are required to meet this increasing demand for goods and services.

Dispersal of Economic Power: When a society produces a small number of entrepreneurs, the enterprises may due to lack of competition grow into a few big business houses. This result in concentration of wealth in a few families. This can have a serious social and economic implication. When the number of entrepreneurs increases, a large amount of national wealth is also shared by a large number of entrepreneurs thus dispersing wealth. This dispersal of wealth promotes economy healthy.

Balance Development in all parts of the country: the growth of industry and business leads to a large number of public benefits like road transportation, health, education, entertainment etc. a rapid development of entrepreneurship ensures a balanced regional development. When the new entrepreneurs grow at a faster pace, in view of the increasing competition in and around the cities, they are forced to set up their enterprise in the smaller towns away from big cities. This helps in the development of the backward regions of the country.

Economic Independence: Entrepreneurship is essential for national self-reliance. Businessmen export goods and services on a large scale and earn the scarce foreign

exchange for the country. Such import substitution and export promotion help to ensure the economic independence of the country.

Reducing Unrest and Social Tension among Youths: Many problems associated with youth and social tensions are rightly considered to be due to youth not being engaged in productive work. In a changing environment where we are faced with the problem of recession in wage employment opportunities, alternative to wage career is the only viable option. The country is required to divert the youth with latent entrepreneurial traits from wage career to self-employment career. Such alternate part through entrepreneurship could help the country in defusing social tension unrest amongst youth.

Improvement in Leaving Standards: Entrepreneurs set up industries which remove scarcity of essential commodities and introduce new products. Production of goods on mass scale and manufacture handicrafts etc. in the small scale sector help to improve the standard of life of a common man. These offer goods at lower costs and increase variety in consumption.

Harnessing Locally Available Resources and Entrepreneurship: As Nigeria is blessed with abundant natural resources increased activities of local entrepreneurs will also result in making use of the available local resources.

Innovation in Enterprises: Business enterprises need to be innovative for their survival and better performance. Entrepreneurship development programs are aimed at accelerating the pace of small firms' growth in the country. When there is an increase in the number of small firms, it is expected to result in more innovations and make the enterprises compete favorable in international markets.

ENTREPRENEURSHIP / ENTREPRENEUR

Entrepreneurship is first and foremost a mindset. Entrepreneur is a person who habitually creates and innovates to build something of recognized value around perceived opportunities.

In this definition, all words are key words:

1. 'Entrepreneur' - can be an individual entrepreneur, but also an entrepreneurial team or even entrepreneurial organization
2. A person - emphasizes a personality rather than a system
3. 'Habitually' - just cannot stop being an entrepreneur
4. 'Creates' - starts from scratch and brings into being something that was not there before
5. 'Innovates' - able to overcome obstacles" that would stop most people; turns problems into opportunities; deliver - sees ideas through to final application
6. Builds something' - describes the output of the creation and

innovation process

7. Of recognized value' - encompasses economic, commercial, social, or aesthetic value

'Perceived opportunities' - spotting the opportunity to exploit an idea that may or may not be original to the entrepreneur; seeing something others miss or only see in retrospect

What Entrepreneurs Are Like

1. Personality factors

- born /made ratio - 50/50. A synergy of genetic and environmental influence
- motivation and emotion - independence, competitive spirit, challenge, wealth
- behavioral characteristics - perseverance, determination, orientation to clear goals need to achieve, opportunity orientation, creativity, persistent problem-solving, risk-taking, Integrity, Honesty, internal locus on control
- personality attributes preferred styles: extrovert/introvert; sensor/intuit; thinker/feeler; and judger/perceiver

2. Environmental factors

- family background - entrepreneurial heritage
- age and education: begin entrepreneurial activity early; are not over- educated
- work experience - most entrepreneurs first gain some work experience in the line of business they later start up

3. Action factors

- making the difference - initiate change and enjoy it
- creating and innovating - a continuous activity, seeing creative idea through to the end and then starting climbing another mountain
- Exploiting opportunities - able to see or craft opportunities that other people miss
- Finding resources and competencies. Experts at exploiting contacts and sources
- networking - expertise oriented; know when they need experts and how to use them effectively
- facing adversity - resolve problems under pressure; turn problems into opportunities
- managing risk - not adventurers, but manageable risk takers; their success lies in caution, learning, flexibility and change during implementation
- controlling the business - paying attention to details and essential ratios; exercising strategic control over their business

- putting the customer first - listening to the customer and responding to the customers' feedback
- creating capital - financial, social and aesthetic wage employment

Meaning of enterprise.

Wider context: an idea that is translated into a planned and implemented activity.

Narrower context: Business venture or undertaking that brings profit.

In its wider sense, an enterprise is any identified idea that is translated into a planned and satisfactorily implemented activity. In its narrower sense, it refers to a business venture or undertaking. Practically all projects and undertakings can be referred to as enterprises if the following steps are followed:

- Idea identification,
- Planning,
- Implementation,
- Successful completion of an activity, and
- Accepting the reward.

Different forms of Enterprises

Private	vs	Public
Profit	vs	Non-profit
Formal	vs	Informal
Individual	vs	Community
Local	vs	Foreign
Business	vs	Social
Small	vs	Large
Manufacturing	vs	Service
Consumer	vs	Industrial

People in a community have many interests and different needs and wants in their lives. It is the role of enterprising men and women identify these interests, needs and wants and establish specific enterprises through which these interests, needs and wants can be satisfied. All enterprises provide satisfying rewards for those who successfully establish them. Terms used to classify enterprises include private, public, formal, informal, individual, community, local, foreign, small, large, business, social, manufacturing, and service, consumer or industrial. Enterprises that succeed, irrespective of their nature, come up with irresistible and valued approaches that contribute to providing solutions to problems, as well as satisfying the, desired needs and wants. The key difference

between all types of enterprise lies in the rewards they provide. Business ventures provide profits as rewards, while non-business ventures provide other types of rewards which could be either physical or psychological. Enterprising men and women will therefore engage in enterprises depending on what kind of rewards they expect from them.

Specific enterprises in a community have the potential to benefit from the existence of all the others. Output from one enterprise normally becomes input for other enterprises, and this helps in money circulation among the enterprises and within the community. The more money that circulates in the community, the more prosperous the community becomes. The synergistic nature of all enterprises in a community creates an environment where there are lots of opportunities to be exploited by enterprising men and women. It is therefore up to these men and women to identify the opportunities available and exploit them. Almost all communities have lots of unexploited opportunities that can increase this synergy if properly harnessed, to create even more opportunities for everyone.

Features of the Types of Enterprises

Business enterprises		Non-business types of enterprise	
• Profits are a primary motive		Various types of human needs are catered for	
• Products/services must be demanded		Products/services people may want	
• Products/services are sold in a market		Market situation need not be present	
• Products/services must be paid in full		Products/services may not necessarily be paid in full.	

Classification of Enterprises

Sectoral: Enterprises are classified along the type of products produced. There is an international code that helps you with this classification. It is called the ISIC (International Standard Industries Code).

Size: The size of the enterprise may also be used for its classification. Worldwide this type of classification depends on either/both of the

capital employed or the number of staff engaged by the enterprise. Below in the definition adopted by the Federal Republic of Nigeria.

Micro/Cottage industries are defined as those whose total investment cost does not exceed one million and five hundred thousand naira {=N=1,500,000.00) including working capital but exclusive of land. The workforce is not more than 10.

Small scale industries are defined as those with total investment of between one million and five hundred thousand naira (=N=1,500,000.00) and fifty million naira (=N=50,000,000.00) excluding land, but including working capital; and/or a workforce of between 11 and 100 workers.

Medium scale industries are defined as those with a total investment of between fifty million C=N=50,000,000.00) and two hundred million (=N=200,000,000.00) naira excluding land, but including working capital; and/or labour force of between 101 and 300 workers.

Large scale industries are defined as those with a total investment of over two hundred million naira (=N 200,000,000.00) excluding land but including working capital; and/or labour force of over 300 workers.

PAID EMPLOYMENT

Advantages	Challenges
1. Specific or fixed responsibilities	a. Follows orders
2. steady income	b. Ability not easily recognized
3. fringe benefits	c. Set income
4. fixed hours of work	d. Limited responsibility
5. more certain future	e. Difficulty to implement ideas
6. set span of control	f. Dependent on the employer
7. minimal risks	

SELF EMPLOYMENT

Advantages	Challenges
1. leads rather than follows	1. long, irregular hours of work
2. can implement ideas	Broad responsibility
3. can be creative	Must take risks
4. potential income unlimited	Income not stable nor guaranteed
5. independence	No fringe benefits
6. can take initiative	Always involved in finances
7. controls work environment	Time constraint
8. gives orders	Uncertain future

9.	Learning never ends
10.	Hard to delegate work
11.	Too much paperwork
12.	Dependent on employee actions

THE CHALLENGES FACED BY ENTREPRENEURS IN NIGERIA

Corruption is something that retards economic growth, and it exists in virtually all economies, not necessarily developing economies or indeed Africa although based on the structures in the more advanced countries, they are able to control or to curb these kinds of practices. In Nigeria, the EFCC, which is the economic and financial crime institution set up by the government, has been able to deal largely with corruption. They have made quite a substantial amount of investigation and recoveries. There has been talk of something like \$5 billion recovered including some of the money looted outside of the country by corrupt leaders. The current operating climate for entrepreneurs is gradually becoming competitive and less rent-seeking.

But that is not the real constraint that retards entrepreneurship in Nigeria, based on the research carried out by Lagos Business School (LBS) recently, the following factors tend to weigh down entrepreneurs. The first is "Markets." The majority of our people don't have access to markets and in order for them to have access to markets, they have to understand the requirements of the market. So this is one area where we are lacking for instance, if you want to have access to the U.S. market, you must know of the market regulations in the USA. Such understanding will assist the entrepreneur to produce to be able to meet the needs of the market. Adequate and timely market information must be provided. Also products must be competitive and meet required standards.

Another major factor is "Infrastructure." This is basically [true] in all developing countries, but more so in Nigeria. Poor infrastructure has been a major cause of Nigerian products not being competitive in the international market. Public power supply has been the major constraint to enterprise development. According to a study carried out by the World Bank in the last 10 years or so, it was pointed out that if government is able to remove power as a bottleneck, Nigeria will gain at least 30% competitiveness in production. Four years ago, we had a similar problem in telecoms, and in Nigeria, we had not more than 400,000 lines, phone lines. But today, four years later, based on the reform agenda of the government they liberalized the telecoms sector and provided an enabling operating climate for private sector participation in that sector about 50 million lines, the majority of which are either mobiles

or fixed wireless, are operational. So we are able to cross the bridge of infrastructural deficiency in the telecoms sector through getting our policy and regulations tight as well as using transparent means to license private sector operators.

Another important constraint is "Finance." Access to capital is a major constraint in Nigeria. The government has tried to do something about this through having one form of intervention or the other in the last decade. However, about five years ago, the Banker's Committee decided to set aside 10% of their profits as equity investments in small businesses. Everybody hailed that decision, and that was good. Unfortunately, the rate at which the money was being dispersed to enterprises has been very poor. So why was this happening?

First of all, you have to understand the mindset of the small businesses in Nigeria. They own their businesses, and they like to control it themselves. Unlike what obtains in USA, Canada and Europe where most people wanting to start a business will look for a partner, somebody with equity. The philosophy is "Let's share the risk together. Let's leverage on the strength of one another," and things like that. But back in Nigeria, the prevailing philosophy is "I want to start it myself. I want to do it myself, at least up until the particular level that I know I have full control. Then, maybe I can sell part of it, but for now, let me do all the sweating, and let me do all the things that come with that sweating."

The second side is that up until five, maybe not more than eight, years ago, the financial services sector had been used to lending through debt, not equity, so the mindset, again, is different. Most lending has to do with collateral, so if you default, they sell off your collateral. In the new participatory case, there is nothing to sell off, which means they have to do their homework a lot more to know the right type of businesses to invest in - whether they are growing businesses or not. They need to know all that, and that is where they can get their reward. So that has also become a challenge for them. The challenge for the banks is that they need to learn the ropes of venture capitalists.

On both sides, there are real challenges, and these have slowed down the investments in equity. There is need for value orientation and sound financial education.

Another factor is inadequate documentation of processes and outcomes. The records are poorly kept, and it is difficult for small businesses to have regular financial statements and things like that. This common business practice in developed economies must be shown to entrepreneurs and why it is important for them to have their own financial records even to know how their businesses are growing. The fact that entrepreneurs are able to document their processes helps them to

consistently control the outcome. That is one learning point that must be imbibed by all entrepreneurs. In addition we need to start documenting some of the processes which have been successful using daily reflection journals as well as documenting various operational challenges and the solutions to these. This leads to effective use of feedback mechanisms in future operational plans as well as in developing strategic plans.

THE ROLE OF PERSONAL SAVINGS AND PORTFOLIO INVESTMENT IN NATIONAL ECONOMIC DEVELOPMENT

In practical terms the student will be introduced to a culture of personal savings and related wealth option through investing in shares and stock. The place of financial intelligence and investment intelligence as they enhance wealth creation are also emphasized. This way, the activities and operation of the Capital Market and the potential benefits for wealth creation and entrepreneurial activities will be clearly identified and tapped. Personal financial planning and management, the use of stockbrokers to build diversified portfolio are also areas of focus. Secrets of savings culture, financial intelligence and discipline will be extensively covered.

Define the Following: Income, Expenditure and Savings;

Income, generally defined, is the money that is received as a result of the normal business activities of an individual or a business.

Internationally, the accounting term income is synonymous to term **REVENUE**. The International Accounting Standards Board uses this definition:

Income is increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity. Other than those relating to contributions from equity participants. For the average citizen in many countries, the term "income" is most relevant for its role in determining how much income tax a person must pay. In common usage, saving generally means putting money aside, for example, by putting money in the bank or investing in a pension plan.

In a broader sense, saving is typically used to refer to economizing, cutting costs, or to reserving someone or something.

In terms of personal finance, saving refers to preserving money for future use - typically by putting it on deposit - this is distinct from investment where there is an element of risk.

Saving differs from savings in that the first refers to the act of putting aside money for future use, whereas the second refers to the money itself once saved.

For example: you may decide to start saving 10% of your income; because you aim for your savings to grow into an amount sufficient to buy a car.

Saving in Personal Finance

Within personal finance the act of saving corresponds to nominal preservation of money for future use, although inflation can still erode its real value. A deposit account paying interest is typically used to hold money for future needs, i.e. an emergency fund, to make a capital purchase (car, house, vacation, etc.) or to give to someone else (children, tax bill etc.).

Savings within personal finance refers to the accumulated money put aside by saving.

Within personal finance, money used to purchase shares, put in a collective investment scheme or used to buy any asset where there is an element of capital risk is deemed an investment. This distinction is important as the investment risk can cause a capital loss when an investment is realized, unlike cash saving(s). Lower levels of risk normally apply to savings e.g. interest rates may fail to preserve its real value, or in extreme cases loss can occur due to bank failure,

In many instances the term saving and investment are used interchangeably which confuses distinction. For example many deposit accounts are labeled as investment accounts by banks for marketing purposes. To help establish whether an asset is saving(s) or an investment you should ask yourself, "Where is my money invested?" If the answer is cash then it is savings, if it is a type of asset which can fluctuate in nominal value then it is investment.

Personal finance is the application of the principles of finance to the monetary decisions of an individual or family unit. It addresses the ways in which individuals or families obtain, budget, save and spend monetary resources over time, taking into account various financial risks and future life events. Components of personal finance might include checking and savings accounts, credit cards and consumer loans, investments in the stock market, retirement plans, social security benefits, insurance policies, and income tax management.

PERSONAL FINANCIAL PLANNING AND MANAGEMENT

Personal financial planning

A key component of Personal finance is financial planning, a dynamic process that requires regular monitoring and reevaluation. In general it has five steps

1. **Assessment** one's Personal financial situation can be assessed by compiling simplified versions of financial balance sheets and income

statement. A personal balance sheet lists the values of personal assets (e.g. car, house, clothes, stocks bank account) along with personal liabilities (credit card debt, bank loan mortgage). A personal income statement lists personal income and expenses"

2. **Setting goals:** Two examples are "retire at age 65 with a personal net worth of =N=10,000,000 " and "buy a house in 5 years paying a monthly mortgage servicing cost that is no more than 25% of my gross income". It is not uncommon to have several goals, some short term and some long term. Setting financial goals helps direct financial planning.

3. **Creating a plan:** The financial plan details how to accomplish your goals. It could include, for example, reducing unnecessary expenses, increasing one's employment income, or investing in the stock market.

4. **Execution:** Execution of one's personal financial plan often requires discipline and perseverance. Many people obtain assistance from professionals such as accountants, financial planners, investment advisers, and lawyers.

5. **Monitoring and reassessment:** As time passes, one's personal financial plan must be monitored for possible adjustments or reassessments. Typical goals most adults have are paying off credit card and or student loan debt, retirement, college costs for children, medical expenses, and estate planning.

Identify types of portfolio investment

- * **Government bonds**
- * **Shares and stocks**
- * **Debentures and**
- * **Acquisition of assets**

In economics and finance portfolio investment represents passive holdings of securities such as shares or stocks, bonds, or other financial assets, none of which entails active management or control of the securities' issuer by the investor, where such control exists, it is known as foreign direct investment. Portfolio investment is strictly connected with a portfolio diversification process.

- i. Some examples of Portfolio investment are:
- ii. Purchase of **shares** in a company.
- iii. Purchase of **bonds** issued by government.
- Acquisition of assets.

Portfolio investment is part of the capital account on the balance of payments statistics.

A brokerage is a firm that acts as an intermediary between a purchaser and a seller. More commonly, a brokerage is referred to as a brokerage

firm. To broker a deal is to communicate with both the buyer and seller as to acceptable price on anything sold or purchased.

A broker, a single person, or the brokerage firm completes any necessary legal paperwork, obtains the appropriate signatures, and collects money from the purchaser to give to the seller. Since the buyer and seller are employing the brokerage to complete the deal, the brokerage may collect a portion of the money obtained. In some cases, a brokerage receives money from both parties. In others, the brokerage receives a commission only from the seller.

Brokerage firms are most commonly thought of in relationship to the sale and purchase of stock shares. Fees are variable, depending on the degree to which the brokerage is involved in decisions about purchase. Some stockowners give their brokers power of attorney to make decisions about when to buy or sell stock and depend upon their brokers for researching new stock for purchase. This type of brokerage firm usually assesses a fairly large fee, and regardless of whether the owner loses or earns money, the firm is paid.

How the Stock Market Works

A share of stock is a small ownership stake in a company. When you buy stock, you become a shareholder or stockholder. Companies sell stock in order to raise the money needed to expand or improve their businesses. Businesses that raise capital in this way are called public companies. Investors buy stock to obtain returns on their investment, just as you may deposit money in a savings account to earn interest. If you purchase the stock of a company that does well you may earn a higher return than what you could earn from a savings account and your money may actually grow faster.

Stocks can help your money grow in two ways. If the share price of your stock goes up, you can draw a profit - also known as a capital gain when you sell your shares. Of course, the share price can go down, and you can lose some of your money. Some stocks pay investors a dividend, which is a portion of the company's profits, on a regular basis.

Stock prices are driven by supply and demand. If a company is doing well on its shares are selling at a fair price, many investors may buy its stock, creating demand. Demand drives up the price. If the company is not doing well or the share price has been driven too high - investors may stop buying or begin selling. As demand drops, so does the price.

Stocks are bought and sold at the stock market. This is where public companies seeking capital meet investors who seek profits. The first stock exchange began in 1602 in Amsterdam, Holland, where shares of the United East India Company were traded. America's first stock market opened in 1792, near an old buttonwood tree where stock traders used to

meet. England's first stock market opened in 1773, in a former London coffeehouse. The Nigerian stock exchange opened in 1961 as Lagos Stock Exchange. At the stock market, each stock is registered with a particular exchange. If you think of the stock market as a big shopping mall, then an exchange is a store that carries only certain brands of products. Today there are stock markets all over the world. At each, stocks are bought and sold on a daily auction conducted by stock traders and specialists.

When someone wants to buy or sell stock, they usually go to a brokerage firm and talk to a licensed stockbroker. The stockbroker will execute your trade - that is, help you buy or sell stock - and charge you a small transaction fee. Stockbrokers who are financial consultants may also offer investment guidance.

When a stock market does well and prices rise over a period of time, it's called a bull market. When prices decline for a period of time, it's called a bear market.

Let's say you purchased 10 shares of XYZ stock at N 52.00 a share. Over time, the share price raises to N 78.50 an increase of N 26.50 a share. If you sell at the point, you will make a profit of N 265.00 if the stock pays a dividend, that amount will be added to your total return. A small transaction fee will be deducted from the proceeds by the firm that executes the transaction. You will also be responsible for taxes on the profit.

Differences between shares and debentures

- Shareholders are effectively owners: debenture-holders are creditors.
- Shareholders may vote at Annual General Meetings (AGMs) and be elected as directors; debenture-holders may not vote at AGMs or be elected as directors.
- Shareholders receive profit in the form of dividends; debenture holders receive a fixed rate of interest
- If there is no profit, the shareholder does not receive a dividend; interest is paid to debenture-holders regardless of whether or not a profit has been made.

The role of portfolio investment in the National Economic Development

FINANCIAL MARKET

The financial market is built on the following basics:

1. Individuals in primary occupations minimize current consumption to build up savings.
2. Stock of savings is made available to fund users (corporations and governments) at the current price of money, i.e. interest rate, subject to government interference.

3. In the formal sector, savers and users of their funds do not meet directly - they operate through financial intermediaries, such as: banks/deposit intermediary, stockbrokers/investment intermediary and insurers/risk management intermediary. With the advent of universal banking in 2003, most Nigerian banks can now undertake all aspects of financial intermediation, ranging from retail banking, stock broking, asset management, Issuing House to insurance and Registrar services.
4. Financial intermediaries issue financial instruments/claims to savers (financial assets) and users (financial liabilities) in exchange for the funds received or disbursed, respectively,

Financial Market Is Classified Into Two Broad Segments Based On Tenor Of The Financial Instruments Issued.

Money market

This is the market for short-term financial instruments, with 1 - 12 months tenor.

Instrument- fixed deposits T-bills CPs, Bas etc.

Near money attributes- low risk, low return and high liquidity

Institution- CBN, commercial/merchant banks, and discount houses.

It is important to note that core capital market instruments are typically creations of corporations in the process of corporate financing (i.e. capitalization) and the government (federal, state, or local government) in the financial or re-financing of development, public debt and policy management.

PUBLIC LIMITED LIABILITY COMPANY, PLCS

Public limited liability company (PLC) can raise fresh capital from the capital market by issuing of any of the following instrument for subscription in the primary market:

1. Ordinary shares
2. Preference shares
3. Corporate bonds

Corporate issues decision is a function of the company's target capital structure, alternative cost of capital as well as proprietary interests. It is perhaps easier for the average Nigeria to understand why a company should borrow or issue corporate bonds instead of raising money by issue of ordinary shares to new co-owners. Ones the return on investment (ROI) is higher than the cost of debt, or applicable interest rate, the use of debt magnifies the return on owner's capital, but at a risk depending on the firm's debt/equity ratio

Why should a firm go public, or raise new equity? The answer is beyond the scope of this manual, but the rationale is evident in the fact that ordinary shares is by far the most traded class of financial instrument in all capital markets. Of the 265 securities listed on the

Nigerian stock Exchange as at December 2004, 207 were equities. This trend is expected to continue with successful implementation of the National Economic Empowerment & development Strategy (NEEDS) vis-a-vis the ongoing banking industry re capitalization, sector reforms and privatization of public enterprises such as NEPA, NITEL, etc. However, the greatest boost to Nigerian equity sector will come from flotation of eligible indigenous blue chips, such as Dangote, Chanchangi, Ibeto, The Young, Honeywell, Eleganza, etc.

When an investor buys ordinary shares in a company, the investor becomes a co-owner of the company entitled to the following perks:

1. Cash/Bonus Dividends declared from the yearly profit(s)
 2. Capital Appreciation over a period of time
 3. Right to Vote at Annual General Meetings of the PLCs
 4. Right to residual claims on the PLC's assets in the event of liquidation
- Thus, equity interest is residual, and as such, **riskier**. However, in periods of boom and high company profits, equities benefit from the upside potential.

GOVERNMENT BONDS:

Government at various levels can raise money from the capital market by issuing

1. Development Stock/Bonds (FGN)
2. Development Bonds (Sgs)
3. Municipal Bonds (Lgs)

The motivation for developing bond markets is particularly specific (related to satisfying particular borrowing needs efficiently) and particularly general (related to making financial markets function more effectively). The prime specific reasons for developing a bond market in most countries are to finance fiscal deficits or in the case of corporations, finance long maturity projects. The most fundamental general reasons are to (1) make financial market more complete with wide range of instruments to ensure significant asset/liability matches. (2) Diversifying capital intermediation beyond highly leveraged banking industry and (3) ensure transmission of the monetary policies.

Investors in corporate or government bonds are entitled to periodic interest payment, on a compounding or discounting basis depending on the stated coupon rate, and repayment of the face value on maturity of the bond. Bond are less risky as interest payment is a prior charge on company profit, before corporate tax and creditors are settled first in the event of liquidation. However creditors are often worse off in periods of rising interest rate due to the inverse relationship between bond value and current interest rate. This is one of the reasons why the bond sector of the Nigerian stock exchange is moribund.

FUNDS

There are two types of funds:

Investment trust funds (closed funds): this is the case of a PLC offering its shares for subscription and the paid up capital is, in turn being invested in the securities of viable enterprises. The fund is managed and dividends declared to owners of share at the end of the company's operation year. E.g Berkshire Hathaway owner by warren buffet "the sage of Omaha"

Unit trust/mutual funds (open funds) this is an open-end funds which is offered, in smaller units to able to source funds from big and small investors. There is a regular valuation to arrive at the net asset value of the funds, which leads to the bid, and offer price. The investors purchase units in the fund and are entitled to divided payments, receiving annual reports and attending AGM's

INSTITUTIONS

It is important to note that the mechanics of the stock market is not as simple as for example, operating a local bank account, where the bank staff and the customer meet directly. As a matter of rules and procedure, the stock market features a number of registered market operators and consultants in both the primary and secondary market segments:

1. Securities and exchange commission
2. Nigerian stock exchange
3. Stockbrokers
4. Issuing houses
5. Registrars
6. Receiving bankers
7. Trustees
8. Underwriters
9. Portfolio/fund manager
10. Investment adviser
11. Rating agencies
12. Professional firms/ consultants, accountants, lawyers etc

Investment & Securities Act, 1999 Sec. requires all capital market operators and such other intermediaries associated with the securities industry to register with the Securities & Exchange Commission and conduct all securities transactions in accordance with the conditions of the certificate of registration obtained from the Commission.

Securities & Exchange Commission (SEC)

The Securities & Exchange Commission is the regulatory apex organization for the Nigerian capital market, just as the Central Bank of Nigeria regulates the money market. The Commission was established by the Investment & Securities Act, 1999 to regulate investment and

securities business in Nigeria

The key functions of the Commission as stipulated in Section 8 of the Act are as follows:

1. Register and regulate all capital market operators, including securities exchanges
2. Register securities to be offered for subscription or sale to the public.
3. Register/approve and regulate the workings of venture capital funds, collective investment schemes (such as mutual funds), mergers, acquisitions and all forms of business combinations.
4. Prepare guidelines, organize and coordinate capital market education
5. Protect the integrity of the securities market against abuses arising from insider trading, fraud or unfair trade practices

The Nigeria Stock Exchange (NSE)

Stock exchanges provide secondary markets for securities (i.e. ordinary shares, corporate or government bonds) issued by companies and governments in the process of raising funds from the primary segment of the capital market. It is a Self-Regulatory Organization (SRO) and provides trading floors for registered stockbrokers/dealing members of the stock exchange trading in registered/listed securities of quoted companies or government according to the Rules and Regulations of the Stock Exchange. Manipulations, insider trading, money laundering and other securities industry malpractices are strictly prohibited on the stock exchange.

The Nigerian Stock Exchange (1977) was established in 1961 as Lagos Stock Exchange. It has witnessed tremendous growth in recent times and the trends is towards creating an international standard capital market satisfying the long-term financing/investment needs of Nigeria governments, companies and portfolio investments.

Transaction cycle is now T + 3 days. The exchange's delivery and settlement system is built on the Central Securities clearing system (CSCS), which demands prior (1) verification and deposit of shares for sale and (2) lodgment of investors fund with the settlement bank before any dealing. NSE has Remote Trading capability, allowing brokers to trade on the floor and investors, to monitor the market, and even enter orders from remote locations on a real time basis via internet. It recently introduced a Fraud Alert System to shareholders via GSM/ email before trades can be executed on their stocks lodged the CSCS. NSE is compliant with global standards set by World Federation of Stock Exchanges in terms of technology and market scrutiny regime.

Stockbrokers:

Stockbrokers are the principal intermediaries, especially in the secondary market segment. In this capacity, a broker is an agent of a principal and he

is paid commission for his services. There are currently over 200 registered Stockbrokers

Explain Basic Management concepts and functions **MANAGEMENT CONCEPTS**

Any organization, whether new or old, whether small or big need to run smoothly and the goals and objectives which it had set forth. For this they had to have developed and be implementing their own management concepts. There are basically four management concepts that allow any organization to handle its tactical, planned and set decisions. The four basic functions of the management are just to have a controlled plan over the preventive measure. The four functions of management are:

THE BASE FUNCTION IS TO PLAN. It is the foundation areas of management. It is the base upon which all areas of management should be built. Planning requires administration to assess; where the company is presently set, and where it would be in the target date. From there an appropriate course of action is determined and implemented to attain the company's goals and objectives. Planning is unending course of action. There may be sudden situations that companies have to face. Sometimes they are uncontrollable. You can say that they are external factors that constantly affect a company both optimistically and pessimistically. Depending on the conditions, a company may have to alter its course of action in accomplishing certain goal. This kind of preparation/arrangement is known as strategic planning. In strategic planning, management analyzes inside and outside factors that may affect the company and set objective and goals. Here they should have a study of strengths and weaknesses, opportunities and threats. For management to do this efficiently, it has to be very practical and focused.

The subsequent function is to: Organize. The second function of management is getting prepared and getting organized. Management must organize all its resources well before hand in order to put into practice a course of action; and to ensure that what has been planned is the base function. Through this process, management will now determine the inside directorial configuration; establish and maintain relationships and also assign required resources. While determining the inside directorial configuration, management ought to look at the different divisions or departments. They also see to the harmonization of staff and try to find out the best way to handle the important tasks within the company. Management determines the division of work according to its need. It also has to decide for suitable departments to hand over authority and responsibilities.

The third function is to: Direct. Directing is the third function of management. Working under this function helps the management to control

and supervise the actions of the staff. This helps them to assist the staff in achieving the company's goals and also accomplishing their personal or career goals which can be powered by motivation, communication, department dynamics, and department leadership.

Employees that are highly provoked generally surpass in their job performance and also play important role in achieving the company's goal. And here lies the reason why managers focus on motivating their employees. They come about with prize and incentive programmes based on job performance and geared in the direction of the employees requirements.

It is very important to maintain a productive working environment, building positive interpersonal relationships, and problem solving. And this can be done only with effective communication. Understanding the communication process and working on areas that need improvement help managers to become more effective communicators. The finest technique of finding the areas that requires improvement is or managers to ask themselves and others at regular intervals, how well they are doing. This leads to better relationship and helps the managers for better directing plans. **The final function is to: control.** Control, the last of four function of management, includes establishing performance standards which are of course based on the company's objective. It also involve evaluating and reporting of actual job performance. When these points are studied by the management then it is necessary to compare actual performance with expected benchmarks. This study is companion of both decides further corrective and preventive actions. In an effort to solve performance problems, management should insist on higher standards. They should straightforwardly speak to the employee or department having problem. On the contrary, if there are inadequate resources or other external factors that disallow standards from being attained, management has to lower their standards as per requirement. The controlling processes, in comparison with the other three, are an unending process or say a continuous process. With this management can detect any probable problems. It helps them in taking necessary preventive measures against the consequences. Management can also recognize any further developing problems that need corrective actions. Effective and efficient management leads to success; the success where it attains the objectives and goals of the organizations. Of course for achieving the ultimate goal and aim, management needs to work creatively in problem solving in all the four functions. Management not only has to see the needs of accomplishing the goals but also has to look in to the process that their way is feasible for the company.

The Basic Functions of Human Capital Management In A Small

Enterprise;

Human resource management (HRM) is the strategic and coherent approach to the management of an organization's most valued assets - the people working there who individually and collectively contribute to the achievement of the objectives of the business. The terms "human resource management" and "human resources" (HR) have largely replaced the term "personnel management" as a description of the processes involved in managing people in organizations. Human Resource management is evolving rapidly. Human resource management is both an academic theory and a business practice that addresses the theoretical and practical techniques of managing a workforce.

HRM is seen by practitioners in the field as a more innovative view of workplace management than the traditional approach. Its techniques force the managers of an enterprise to express their goals with specificity so that they can be understood and undertaken by the workforce, and to provide the resources needed for them to successfully accomplish their assignments. As such, HRM techniques, when properly practiced, are expressive of the goals and operating practices of the enterprise overall. HRM is also seen by many to have a key role in risk reduction within organizations. This revolves around training and retraining of the workforce for personal improvement and capacity to improve job performance.

2.4

Define Communication

Communication is a process that allows organisms to exchange information by several methods. Communication requires that all parties understand a common language that is exchanged with each other. Exchange requires feedback. The word communications is also used in the context where little or no feedback is expected such as broadcasting, or where the feedback may be delayed as the sender or receiver use different methods, technologies, timing and means for feedback.

There are auditory means such as speaking, singing and sometimes tone of voice, and nonverbal, physical means, such as body language, sign language, paralinguage, touch, eye contact, or the use of writing.

3. Explain the Role of Communication in an Enterprise

Communication strategy is a coherence linkage never to be overlooked in an enterprise. Communication needs to be comprehensively planned and spontaneous, as well as top-down and bottom-up communication processes, including the target

audience, the message, the means of communication, the frequency, the rationale, and the selection of communicators must be tailored to each purpose and consistency.

Top organizations have a communication process that communicates the knowledge and information that people need in a way that they understand and can apply to their job. communication is neither a separate nor a periodic task, use every means available to let everyone working with you know ^{employees} your plans and your reasons. A manager should ~~job~~, communicating with ~~them~~ frequently, and giving them clear guidelines on the results that are expected.

Communication is a two-way relationship, so establish an enabling environment for other to give you the information you need, use feedback to make certain that communication has become understanding and consensus. Practice management by wandering around (MBWA) and active listening.

communicate with reports and benchmarks that track business progress and anticipate issues and opportunities, for example:

- The annual budget
 - Monthly measurements and benchmarks requiring action.
 - Key weekly measurements on which can be taken.
- Focused meetings can also foster clear effective communication, and spark action.

To be successful, a project must have constant, effective communication among everyone involved in the project in order to coordinate action, recognize and solve problems, and react to changes.

Don't speak personally to employees, except when announcing increased targets, shortened deadlines and tightened cost restraints. Eliminate politics, by giving everybody the same message.

Active Listening

Active listening is a habit that you can and should develop, ebbing great listener benefits managers by reducing misunderstandings, improving information accuracy, and ensuring that they have complete information from which to work, employees, peers and even your manager will open up more when they feel listened to.

You need to listen to the words that we being said and hear the person's intent, or disconnects will occur. Even with the best of intentions, messages can become